

# Indian Railway Finance Corporation Ltd

Financials | Speciality Finance | Large Cap | <https://irfc.co.in/>

## Company Overview

Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

## Financial Snapshot

|                |               |                  |       |                   |       |
|----------------|---------------|------------------|-------|-------------------|-------|
| Market Cap     | ■2,618,349 Cr | ROE              | 13.7% | Revenue CAGR      | 19.1% |
| P/E            | 9.81          | ROCE             | 5.7%  | PAT CAGR          | 23.2% |
| P/B            | 3.91          | Net Margin       | 24.1% | EPS CAGR          | 20.1% |
| EV/EBITDA      | 16.66         | Operating Margin | 99.5% | Quality Score     | 70.00 |
| Dividend Yield | 2.8%          | Debt / Equity    | 8.38  | Interest Coverage | 1.32  |
| Asset Turnover | 0.05          | EPS              | ■5.00 | Book Value        | N/A   |

## Investment Strengths

- Strong profit margins support healthy earnings.
- High operating margin reflects operational efficiency.
- Revenue has grown consistently over five years.
- Profit growth has remained consistently strong.
- EPS growth indicates increasing shareholder value.
- Positive free cash flow strengthens future growth.
- Healthy dividend yield rewards shareholders.

## Investment Risks

- High debt increases financial risk.
- Poor interest coverage raises repayment concerns.

## Cash Flow Intelligence

### Healthy Cash Flow

Strong operating cash flow while investing for growth and reducing financing obligations.

## Capital Allocation

**Latest Pattern:** Reinvestor

## Pattern History

| Year | Pattern               |
|------|-----------------------|
| 2016 | Distress Signal       |
| 2017 | Distress Signal       |
| 2018 | Distress Signal       |
| 2019 | Distress Signal       |
| 2020 | Distress Signal       |
| 2021 | Growth Funded by Debt |
| 2022 | Growth Funded by Debt |
| 2023 | Growth Funded by Debt |
| 2024 | Reinvestor            |

## Pattern Change Summary

|                |                 |
|----------------|-----------------|
| <b>Changed</b> | Yes             |
| <b>From</b>    | Distress Signal |
| <b>To</b>      | Reinvestor      |